

● LIVE SESSION

# The third borrower.

**A California condo method for agents**

Daryn Fillis · NEO Home Loans · NMLS #1988371

**Somebody in this room is going to lose  
a condo deal.**

# The deal didn't die. It was killed in week three.

Every condo deal you lose at the project level was knowable *before* anyone wrote anything.

## 3

### Approvals, not one

The lender approves the borrower, the unit, **and the building**. All three have to pass. Perfect credit does not save a failed project.

## 1–3

### Weeks of project review

That's how long the HOA questionnaire round-trip takes. It starts *after* you're in contract — which is why the bad news always lands late.

## 0

### Commissions on a dead deal

Buyer's deposit at risk. Seller back on market with a stale DOM. Your name on both sides of it.

The building is the **third borrower** in every condo deal.  
**It's the only one nobody pre-approves.**

# Why me?

**DARYN FILLIS** — Certified Mortgage Advisor · Branch Lead

I run condo deals across LA County constantly — El Segundo, the South Bay, the Westside. Warrantable, non-warrantable, FHA, VA, conventional, jumbo. Buyers, sellers, agents.

The building review, the warrantability analysis, the project questionnaire, the reserve study, the SB 326 status — **these aren't things most lenders run before you're in contract.** I run them before you write the offer.

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I also wrote the two guides this session is built on — **the Buyer's Pre-Offer Checklist** and **the Seller's Warrantability Checklist**. You're all leaving with both. More on that at the end.

# The Third Borrower Method.

Three steps. Same method whether you're taking the listing or writing the offer.

0 1

## CHECK

Before the offer. Before the listing. One address, one HOA name — status across Fannie, Freddie, FHA, and VA. Under 24 hours. Free.



0 2

## CLEAR

Work the 15-item checklist. Six documents, five questions, four conditions. Most of it is phone calls. All of it is knowable pre-offer.



0 3

## CLOSE

Warrantable → conventional. Non-warrantable → Condo Solutions. Either way the deal closes. It just closes on purpose instead of by luck.

Thirty minutes. I'm going to break three things you believe about condos — then hand you the checklist that makes this permanent.





# The lender handles the building. That's not my job.

Project review is a *post-contract* process. By the time your lender tells you the building failed, you've burned three weeks, the buyer's deposit is exposed, and the listing is stale.

**The lender doesn't check the building until week three.**

**You write the offer in week one.**

**The gap between those two is where deals die.**



# Small buildings are the hard ones.

It's the one everybody assumes: no professional management, thin reserves, no doorman — must be a nightmare to finance.

As of 2026, that got exactly backwards.



# 2026 inverted the risk.

Where the pain actually lands under the new rules.

≤ 10 UNITS — GOT EASIER

## The Waiver

New in 2026: projects of ten units or fewer can close **without a full project review**. The small Mid-City, Echo Park, and Santa Monica conversions that used to sit in an awkward middle ground — too small for thick reserves, too project-like to be a duplex — just got a clean path.

11+ UNITS — GOT HARDER

## Full Review, every time

Limited Review is **gone** as of Aug 3, 2026. The mid-size buildings that closed on autopilot for years — the ones with a track record — have **never been Full Reviewed**. Financials, reserves, insurance, litigation, owner-occupancy. All of it. Every loan.

Your clean closing history in a 40-unit building tells you nothing about 2026.

**It was never tested.**

**The ten-unit building just got a waiver.  
The forty-unit building just lost its shortcut.  
Your instinct about which one is risky is backwards.**



# Non-warrantable means the deal is dead.

So the buyer walks. Or the listing sits. Or the seller drops the price for no reason at all.

Many fine LA buildings — selling actively, right now — are non-warrantable. Those deals close every month.

**Non-warrantable isn't a dead deal.**  
**It's a different loan.**

And you don't find out which one you need in week three.

STEP 01 · CHECK — WHAT YOU'RE CHECKING AGAINST

## Three dates. Know all three.

**Mar 18, 2026**

**RULES ISSUED**

Fannie LL-2026-03 · Freddie Bulletin 2026-C. Transition period — **some lenders are already applying the new rules.** That inconsistency is itself a reason to check.

**Aug 3, 2026**

**LIMITED REVIEW DIES**

**The key date.** Full Review on every conventional loan in a project over ten units. Three weeks away.

**Jan 4, 2027**

**RESERVE RULE**

Reserve funding minimum goes **10%** → **15%** of the HOA's annual budget. A 50% increase in the required allocation. Buildings at the old floor fall off.



**Already in effect:** the critical-repairs rule. Unaddressed safety, structural, or habitability issues make a project **ineligible** — not "subject to additional review." Ineligible. Mold, water intrusion, advanced deterioration, a failed inspection, or unfunded repairs over \$10,000/unit due within 12 months.



# Funding is what **removes the issue.**

Everyone fixates on the \$10,000-per-unit number. That number is real — but it has **carve-outs that agents almost never know about**, and they are the difference between a dead listing and a closed one.

## TRIGGERS THE RULE

Mold, water intrusion, or damaging leaks

Advanced physical deterioration

A deficiency that could fail within 12 months

A failed state/county/city safety inspection — **an open SB 326 finding lands here**

**Unfunded** repairs > \$10,000/unit due within 12 months

## DOES NOT TRIGGER IT

Routine and preventive maintenance

Normal capital replacement on schedule

Repairs an **individual owner** is paying for

Repairs funded by a **special assessment**

Damage isolated to a few units that doesn't affect the project's safety or habitability

Read that again: **a special assessment is a carve-out, not a red flag.** A \$30,000-per-unit waterproofing project that's *unfunded* kills the building. The same project, *funded by a voted assessment*, is warrantable. Same repair. Different answer. **That's a conversation you can start with an HOA board before you list.**



## THE CALIFORNIA-SPECIFIC LAYER

# SB 326. And the myth about the extension.

### Who it hits

HOAs with 3+ units and **wood-supported** balconies, decks, walkways, or stairways. That's most older Southern California condo stock.

### The deadline

First inspection was due **January 1, 2025**. That is now more than eighteen months past. Every nine years after.

### AB 2579

**The extension does not apply to condos.** It extended SB 721 — rental apartments. If an HOA manager told your seller they have until 2027, they conflated the two laws. Condos had no extension.

### The financing link

An open SB 326 finding is a **failed safety inspection** — which drops it straight into the critical-repairs rule. That's the whole building, ineligible.

**Watch for this:** "The inspection was done" tells you nothing about whether deficiencies were *found* or *addressed*. **Ask for the actual report** — not a one-line summary from the listing agent. Typical timeline from contracting to certificate: four to eight weeks. That's a timeline you can only manage if you know about it before you list.

# The nine red flags that kill condo deals.

Almost every non-warrantable project fails for one of these. Knowing which one applies tells you exactly which conversation to have.

01

## Active litigation

HOA as a party. Construction defect, slip-and-fall, vendor disputes. Neighbor-vs-neighbor generally doesn't count. Ask directly, get it in writing.

02

## Pending special assessment

Voted or announced, collection or not. But remember — if it *funds a critical repair*, it can move the project back to warrantable.

03

## Investor concentration

Over 35% non-owner-occupied is a flag. Over 50% renters is typically a full disqualifier.

04

## Single-entity ownership

>10% of units in a 21+ unit project (20% in smaller). Usually a developer still holding inventory. Time-limited — know where you are in that curve.

05

## Excessive commercial space

Over ~35% of square footage. DTLA, parts of Hollywood. Ground-floor retail is fine in moderation.

06

## Hotel / transient operations

Short-term rentals at scale make Fannie treat the whole building as a hotel. Categorically ineligible.

07

## Inadequate reserves

Below 10% today = already non-warrantable.  
Between 10% and 15% = a clock running out on Jan 4, 2027.

08

## Unaddressed critical repairs

The rule from three slides ago. Funding is the way out.

09

## SB 326 non-compliance

Missing balcony inspection on a wood-framed building. Increasingly treated as material.



# A few phone calls. A whole escrow saved.

## DOCUMENTS

6

- HOA financials — current + prior year
- Reserve study — **under 30% funded is serious**
- Meeting minutes — last 12–24 months
- Master insurance policy + fidelity bond
- CC&Rs and bylaws
- SB 326 report — the report, not a summary

## QUESTIONS

5

- Any pending or active litigation?
- Any special assessment planned?
- Current owner-occupancy ratio?
- % of owners 60+ days delinquent? **(15% cap)**
- Short-term rentals — allowed? enforced?

## CONDITIONS

4

- No single entity over 10% of units
- Commercial space within limits
- Reserves at or near the 15% threshold
- **Run the project status check. This is the one that catches what the other fourteen miss.**

Sellers: start **two weeks before listing** — HOA management is the bottleneck.

Buyers: the same fifteen items, run **before you write**.

# Non-warrantable? Condo Solutions.

|                  | WHAT AGENTS ASSUME             | WHAT ACTUALLY HAPPENS                                                               |
|------------------|--------------------------------|-------------------------------------------------------------------------------------|
| The deal         | Dead. Buyer walks.             | Closes. Different loan, same house.                                                 |
| The rate         | Way above market               | <b>Can beat conventional.</b> Cost sits in origination, not the rate.               |
| Down payment     | "Basically all cash"           | Around 20% — some programs 15%                                                      |
| Project review   | Same brutal GSE questionnaire  | Streamlined review. <b>Faster</b> , less HOA back-and-forth.                        |
| Who eats the fee | The buyer. Deal dies on price. | <b>Seller credit offsets it</b> — the unit stays competitive vs. warrantable comps. |
| Forever?         | Stuck in it for 30 years       | Refinance to conventional when the project clears. I watch the file and call you.   |

**The listing-remark play:** if the project is non-warrantable, say so — *"Cash or non-warrantable financing only. Lender referrals available."* You lose the tire-kickers and you signal to serious buyers that there's a path. **A buyer's big-bank lender saying "we can't do this project" with no alternative offered is how an otherwise-fine deal sinks.**

# Week four of escrow.

The call I get more than any other.

An LA buyer's agent calls me. Week four. The buyer's conventional financing just got declined — **not because of the buyer. Because of the project.** The seller is panicking. The agent is scrambling.

One conversation. We qualify **the same buyer** for the non-warrantable program. **The deal closes ten days later.**

That deal got saved. But it cost four weeks, a terrified buyer, and a seller who nearly went back on market.

**Everything in that phone call was knowable in week zero — from an address and an HOA name.**



# So — how many of you have a condo listing or a condo buyer **right now?**

Here's what I want you to do with it.

**Bring me in early. Two things, both free, both yours.**

- **The Project Status Check**  
Send me the address and the HOA name. Under 24 hours, you get back: Fannie (CPM), Freddie, FHA (and whether approval lapsed), VA, public litigation records, and my read on anything that looks like a flag. **Before you write. Before you list.**
- **The two guides — yours to give away**  
The Buyer's Pre-Offer Checklist and the Seller's Warrantability Checklist. **Hand them to your buyers at consult. Hand them to your sellers at the listing appointment.** Fifteen items, the nine red flags, the full critical-repairs appendix.
- **No obligation, and I mean it**  
Some of the people I run checks for end up working with me. Many don't. Either way you should know where the building stands before you commit your client to it.

*One address. One HOA name. One business day.*

# Run the check before you write.

Free. Under 24 hours. Fannie, Freddie, FHA, VA — plus my read on the flags.

## SEND ME TWO THINGS

The property address (with unit #)

The HOA name (as registered — not the marketing name)

**424-396-6967** · [myadvisors@neohomeloans.com](mailto:myadvisors@neohomeloans.com)

Or just put my number in your phone under "**condo**" —  
and text me the address the day you take the listing.



[darynfillis.com/cal-condo](https://darynfillis.com/cal-condo)

Request the check.  
Download **both guides**.

**Nobody loses a condo deal  
over something they knew.**

● LIVE Q & A

# Bring me a building. Ask me anything.



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